

Research Select Strategy

As of 2/28/2015



Investment Approach

- The Research Select strategy leverages Horizon's in-house research to identify investments including catalyst-driven and event-driven opportunities, hidden assets and corporate restructurings. The strategy may invest in less mature companies in the process of developing a superior product or market niche.
- Generally, the strategy's holdings are small to mid capitalization companies.
- The strategy may invest in non-US companies and, on a limited basis, participate in special situation opportunities.

Portfolio Construction

- The strategy generally seeks to avoid significant portfolio turnover which has historically averaged 20 to 25% per annum.
- Portfolio typically invests in 25 to 50 securities and position sizes generally range from 0.5% to 10.0%.
- The portfolio seeks to manage co-dependency across business models and does not measure risk versus a specific benchmark.

Investment Time Horizon:

5+ Years

Representative Benchmark:

S&P 500

Asset Under Management:

Horizon Kinetics (\$bln) 9.2

Strategy (\$mm) 106

Inception Date:

January 1998

Portfolio Manager:

Steven Bregman
30 yrs investment experience

Performance Statistics	MTD	QTD	YTD	1 Yr	3 Yrs	5 Yrs	10 Yrs	ITD
Total Return (net)	7.4	3.4	3.4	-8.5	14.8	12.9	7.2	13.2
S&P 500 Return	5.7	2.6	2.6	15.5	18.0	16.2	8.0	6.6
Excess Return (net)	1.7	0.8	0.8	-24.0	-3.2	-3.2	-0.8	6.7
Standard Deviation (%)	—	—	—	14.5	15.2	19.9	21.8	19.1
Tracking Error (%)	—	—	—	8.8	9.4	10.2	11.6	12.6
Sharpe Ratio	—	—	—	-0.5	1.0	0.7	0.4	0.6
Information Ratio (arith)	—	—	—	-2.7	-0.3	-0.3	-0.1	0.5
Beta	—	—	—	1.4	1.3	1.3	1.3	0.9
UpMkt Capture Ratio (%)			130	51	110	115	131	118
Down Capture Ratio (%)			126	312	167	157	148	90

Top 10 Holdings

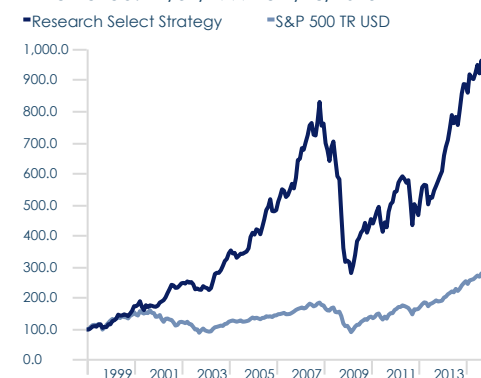
	% Port
Icahn Enterprises L.P.	11.4%
Howard Hughes Corporation	9.4%
Texas Pacific Land Trust	8.9%
Live Nation Entertainment, Inc.	7.8%
DREAM Unlimited Corp. Class A	4.8%
Onex Corporation	4.6%
Sears Canada Inc.	3.9%
Towngas China Co. Ltd.	3.2%
Dundee Corporation Class A	3.2%
Brookfield Residential Properties Inc.	3.0%

Strategy Characteristics

Number of Positions	41
Avg. Market Cap. (B)	7.0
P/E ⁽¹⁾	12.8
Price/Book ⁽¹⁾	1.9
Dividend Yield	1.4%
Turnover (1 Year) ⁽²⁾	17.4%
⁽¹⁾ Weighted Harmonic Average	
⁽²⁾ Based on Model Portfolio	

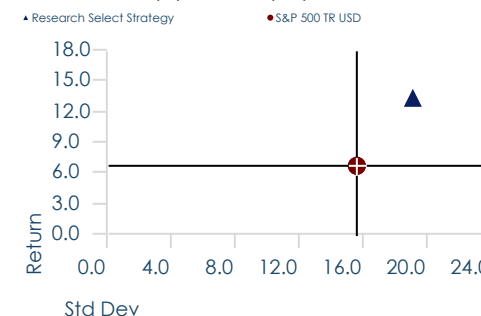
Cumulative Growth of \$100 (net)

Time Period: 12/31/1997 to 2/28/2015



Risk/Reward (net)

Time Period: 1/1/1998 to 2/28/2015



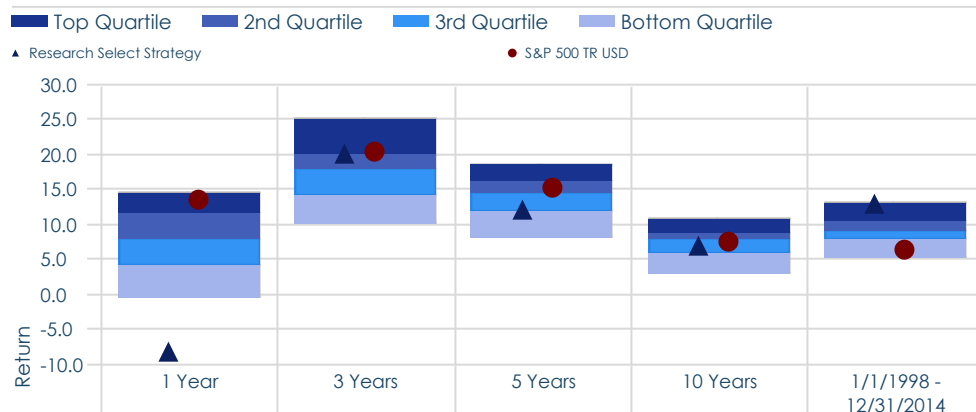
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Performance Relative to Peer Group (net)

As of Date: 12/31/2014 Peer Group (5-95%): Morningstar Institutional - All Cap



Monthly Performance (net)

	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec	YTD	Index
2015	-3.8	7.4											3.4	2.6
2014	-3.0	6.8	-1.3	-0.3	2.2	2.8	-2.9	4.5	-6.4	-1.4	-2.9	-5.8	-8.2	13.7
2013	8.3	4.2	3.2	5.2	5.8	-3.3	2.6	-3.3	6.3	6.6	3.6	-0.2	45.8	32.4
2012	10.9	7.4	1.4	-0.3	-10.9	4.8	-0.5	4.4	2.7	2.8	2.8	2.6	30.2	16.0
2011	0.5	5.1	2.0	1.5	-1.4	-2.1	1.4	-11.5	-15.1	15.5	-3.1	-4.1	-13.7	2.1
2010	-3.1	4.0	4.6	3.1	-10.2	-6.7	7.3	-3.5	11.6	5.1	1.3	6.3	19.1	15.1
2009	-1.5	-11.0	8.6	10.9	13.3	2.6	4.5	2.0	5.4	-7.1	4.5	5.8	41.6	26.5
2008	-8.3	-3.1	-5.2	6.9	2.7	-8.1	-8.5	-1.6	-19.2	-23.1	-12.4	1.2	-57.8	-37.0
2007	5.3	-0.7	3.6	3.1	4.4	1.0	-4.9	-0.3	6.3	8.0	-9.2	0.9	17.5	5.5
2006	5.7	3.2	4.4	-0.8	-3.7	1.2	3.2	3.5	-2.6	6.1	9.8	0.6	34.2	15.8
2005	-1.4	4.2	-0.8	-3.0	5.8	5.7	6.5	2.3	4.8	-7.3	-0.2	0.8	17.7	4.9
2004	2.7	-2.7	0.6	-4.6	1.9	2.0	-0.1	1.1	1.0	3.0	10.0	3.5	19.2	10.9
2003	-0.8	-2.6	2.6	9.3	9.6	1.2	-0.1	3.1	4.6	5.3	2.0	5.5	46.8	28.7
2002	0.5	-0.9	2.9	-1.7	0.9	-2.9	-6.6	1.1	-1.6	-0.3	5.2	-1.8	-5.5	-22.1
2001	5.7	1.8	2.2	4.7	6.9	5.7	6.1	-0.9	-3.2	0.4	2.7	3.2	40.8	-11.9
2000	0.0	2.7	6.4	-9.6	-6.0	9.7	-3.4	3.3	-0.8	-1.3	-0.5	2.1	0.9	-9.1
1999	9.2	1.9	4.0	9.4	-2.2	0.4	2.6	-1.6	-2.5	5.9	5.7	9.5	50.0	21.0
1998	—	3.7	5.8	1.0	-1.6	6.3	0.4	-9.8	3.0	-0.5	8.6	-0.3	16.6	28.6

Source: Morningstar Direct

Definitions: Historical Statistics

- Excess Return is the measurement of a portfolio's return minus the return of the representative index.
- Standard Deviation is a statistical measure of the degree to which an individual value in a probability distribution tends to vary from the mean of the distribution.
- Tracking Error is the standard deviation of a portfolio's return relative to a benchmark.
- Risk Adjusted Return is a measure of how much an investment returned in relation to the amount of risk it took on; specifically, it is the ratio of strategy return over its volatility.
- Information Ratio is a ratio of portfolio returns above the returns of a benchmark (usually an index) to the volatility of those returns.
- Beta is a measure of the volatility, or systematic risk, of a security or a portfolio in comparison to the market as a whole.
- Up-Market Ratio is the statistical measure of an investment manager's overall performance in up-markets. The ratio is calculated by dividing the manager's returns by the returns of the index during the up-market.
- Down-Market Ratio is the statistical measure of an investment manager's overall performance in down-markets. The ratio is calculated by dividing the average manager's returns by the average returns of the index during the down-market.
- Turnover is the lower of total buys or total sells divided by the average market value of the account. Turnover ratio is calculated by Fiserv APL.

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